

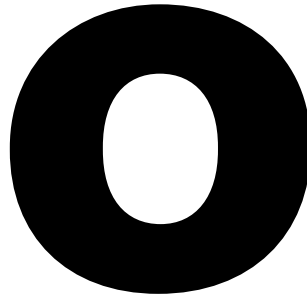
THE TRIPLE AGENDA

VOLUME 1 Expert Recommendations

- 1 Greater engagement with private sector can help yield more funds for development
- 2 Global challenges funding mechanism could yield \$20 billion in additional annual lending
- 3 Full implementation of recommendations of the CAF report could generate headroom to lend \$80 billion more each year

VOLUME 2 Expert Recommendations

- 1 Convert operating models to co-create multi-year programmes for transformative change
- 2 Streamline and simplify business processes to halve processing time
- 3 Bring a whole-of-institution approach to mobilise \$240 billion in private capital



ONE OF THE top priorities during India's soon to be concluded G20 presidency was finding ways to finance the world's increasingly complex development challenges. And India made a start to this end with the New Delhi Leaders' Declaration taking up the issue of reforming international financial institutions. There is palpable excitement about the move that could usher substantive changes in not only the work that these multilateral development banks (MDBs) do, but also bridge the funding gap through greater private sector engagement, especially after the fourth meeting of finance ministers and central bank governors in Marrakesh in October.

The MDBs were set up in a different era. The World Bank, for instance, was set up in 1944, and its articles of agreement included rebuilding the economies of countries devastated by war and increasing the economic development of developing countries. When it began operations in 1946, it had 38 members; now almost all countries of the world are its members. Similarly, the International Monetary Fund (IMF), too, was established in 1944 after the Great Depression of the 1930s with 44 founding member countries that sought to build a framework for international economic co-operation. Now, it has 190 countries as members.

In recent years, there has been



ONE OF THE takeaways of India's G20 presidency has been the call to reform multilateral development banks (MDBs). This was led by a G20 expert group headed by former US treasury secretary Lawrence Summers, President Emeritus of Harvard University; and N.K. Singh, former chairman of the 15th Finance Commission and President of the Institute of Economic Growth. In an interaction with *Business Today*, the Co-conveners shed light on the need for reforms and the way ahead. Edited excerpts:



Professor Summers, you recently said the world is on fire, and linked it to MDB reforms. What led you to this conclusion?

LS: There are two parts to